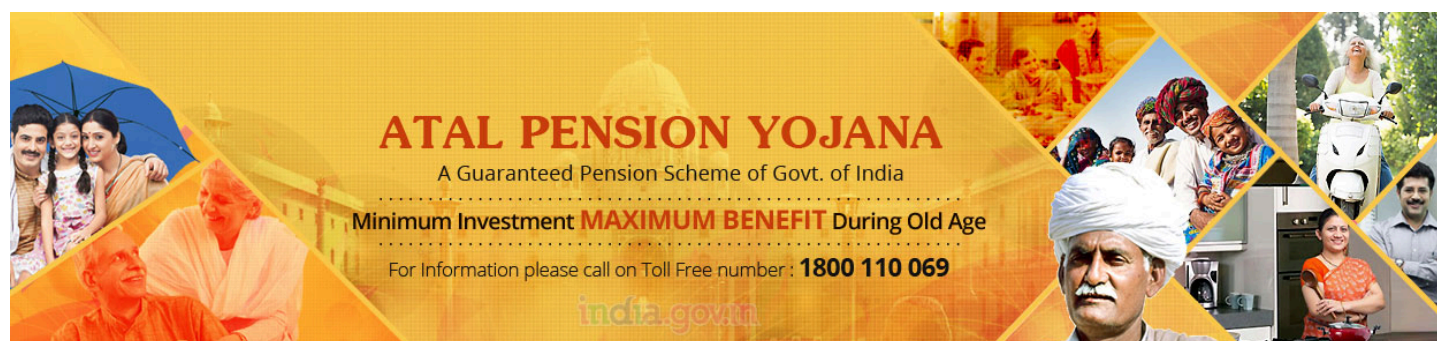




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Atal Pension Yojana



Atal Pension Yojana (APY), a pension scheme for citizens of India is focused on the unorganized sector workers. Under the APY, guaranteed minimum pension of Rs. 1,000/- or 2,000/- or 3,000/- or 4,000 or 5,000/- per month will be given at the age of 60 years depending on the contributions by the subscribers. Any Citizen of India can join APY scheme. Following are the eligibility criteria:

- The age of the subscriber should be between 18 - 40 years.
- He/She should have a savings bank account/ post office savings bank account.

The prospective applicant may provide **Aadhaar** and mobile number to the bank during registration to facilitate receipt of periodic updates on APY account. However, Aadhaar is not mandatory for enrollment.

Need for Pension

A Pension provides people with a monthly income when they are no longer earning.

- Decreased income earning potential with age.
- The rise of nuclear family-migration of earning member.
- Rise in cost of living.
- Increased longevity.
- Assured monthly income ensures dignified life in old age.

Government Contribution



The co-contribution of the Government of India is available for 5 years, i.e., from the Financial Year 2015-16 to 2019-20 for the subscribers, who join the scheme during the

period from 1st June, 2015 to 31st March, 2016 and who are not covered by any Statutory Social Security Scheme and are not income tax payers. The Government co-contribution is payable to eligible [Permanent Retirement Account Number](#) (PRANs) by the [Pension Fund regulatory and Development Authority](#) (PFRDA) after receiving the confirmation from Central Record Keeping Agency to the effect that the subscriber has paid all the installments for the year. Government co-contribution will be credited in subscriber's savings bank account/ post office savings bank account 50% of the total contribution subject to a maximum of Rs 1000/- at the end of financial year. The beneficiaries, who are covered under statutory social security schemes, are not eligible to receive Government co-contribution under [APY](#). For example, members of the Social Security Schemes under the following enactments would not be eligible to receive Government co-contribution under [APY](#):

- [Employees' Provident Fund](#) and Miscellaneous Provision Act, 1952.
- The Coal Mines Provident Fund and Miscellaneous Provision Act, 1948.
- Assam Tea Plantation Provident Fund and Miscellaneous Provision, 1955.
- Seamen's Provident Fund Act, 1966.
- Jammu Kashmir Employees' Provident Fund and Miscellaneous Provision Act, 1961.
- Any other statutory social security scheme.

Benefits of [APY](#)

The benefit of minimum pension under [Atal Pension Yojana](#) would be guaranteed by the Government in the sense that if the actual realized returns on the pension contributions are less than the assumed returns for minimum guaranteed pension, over the period of contribution, such shortfall shall be funded by the Government. On the other hand, if the actual returns on the pension contributions are higher than the assumed returns for minimum guaranteed pension, over the period of contribution, such excess shall be credited to the subscriber's account, resulting in enhanced scheme benefits to the subscribers.

The Government would also co-contribute 50% of the total contribution or Rs. 1000 per annum, whichever is lower, to each eligible subscriber, who joins the scheme during the period 1st June, 2015 to 31st March, 2016 and who is not a beneficiary of any social security scheme and is not an income tax payer. The Government co-contribution will be given for 5 years from the Financial Year 2015-16 to 2019-20.

At present, a subscriber under the [National Pension System](#) (NPS) is eligible to get tax benefit for the contribution, up to a ceiling, and even for the investment returns on such contributions. Further, the purchase price of the annuity on exit from NPS is also not taxed and only the pension income of the subscribers are considered to be part of normal income and taxed at the appropriate marginal rate of tax, applicable to the subscriber. Similar tax treatment is applicable to the subscribers of [APY](#).

Procedure for Opening an [APY](#) Account



- Approach the bank branch/post office where individual's savings bank account is held or open a savings account if the subscriber doesn't have one.
- Provide the Bank A/c number/Post office savings bank account number and with the help of the Bank staff, fill up the APY registration form.
- Provide Aadhaar/Mobile Number. This is not mandatory, but may be provided to facilitate the communication regarding contribution.
- Ensure keeping the required balance in the savings bank account/post office savings bank account for transfer of monthly/quarterly/half yearly contribution.

Mode of contribution, how to contribute, and due date of contribution

The contributions can be made at monthly/quarterly/half yearly intervals through auto-debit facility from savings bank account/post office savings bank account of the subscriber. The monthly/quarterly/half yearly contribution depends upon the intended/desired monthly pension and the age of subscriber at entry. The contribution may be paid to APY through savings bank account/ post office savings bank account on any date of the particular month, in case of monthly contributions or any day of the first month of the quarter, in case of quarterly contributions or any day of the first month of the half year, in case of half-yearly contributions.

In case of continuous default

The subscribers should keep the required balance in their savings bank accounts/post office savings bank account on the stipulated due dates to avoid any overdue interest for delayed contributions. The monthly/quarterly/half-yearly contribution may be deposited on the first date of month/quarter/half year in the savings bank account/ post office savings bank account. However, if there is inadequate balance in the saving bank account/post office savings bank account of the subscriber till the last date of the month/last date of the first month in a quarter/last day of the first month in a half year, it will be treated as a default and contribution will have to be paid in the subsequent month along with overdue interest for delayed contributions. Banks are required to collect Rs. 1 per month for contribution of every Rs. 100, or part thereof, for each delayed monthly contributions. Overdue interest for delayed contribution for quarterly/half yearly mode of contribution shall be recovered accordingly. The overdue interest amount collected will remain as part of the pension corpus of the subscriber. More than one monthly/quarterly/half yearly contribution can be recovered subject to availability of the funds. In all cases, the contribution is to be recovered along with the overdue charges if any. This will be bank's internal process. The due amount will be recovered as and when funds are available in the account.

Deduction would be made in the subscribers account for account maintenance charges and other related charges on a periodic basis. For those subscribers, who have availed Government co-contribution, the account would be treated as becoming zero when the subscriber corpus minus the Government co-contribution would be equal to the account maintenance charges, fees and overdue interest and hence the net corpus becomes zero. In this case, the Government co-contribution would be given back to the Government.

Withdrawal procedure from APY



- **On attaining age of 60 :-** Upon completion of 60 years, the subscribers will submit the request to the associated bank for drawing the guaranteed minimum monthly pension or higher monthly pension, if investment returns are higher than the guaranteed returns embedded in APY. The same amount of monthly pension is payable to spouse (default nominee) upon death of subscriber. Nominee will be eligible for return of pension wealth accumulated till age 60 of the subscriber upon death of both the subscriber and spouse.
- **In case of death of the subscriber due to any cause after the age of 60 :-** In case of death of subscriber, same pension would be available to the spouse and on the death of both of them (subscriber and spouse), the pension wealth accumulated till age 60 of the subscriber would be returned to the nominee.
- **Exit before the age of 60 :-** In case a subscriber, who has availed Government co-contribution under APY, chooses to voluntarily exit APY at a future date, he shall only be refunded the contributions made by him to APY, along with the net actual accrued income earned on his contributions (after deducting the account maintenance charges). The Government co-contribution, and the accrued income earned on the Government co-contribution, shall not be returned to such subscribers.
- **Death of subscriber before age of 60 :-**
 - In case of death of the subscriber before 60 years, option will be available to the spouse of the subscriber to continue contribution in the APY account of the subscriber, which can be maintained in the spouse's name, for the remaining vesting period, till the original subscriber would have attained the age of 60 years. The spouse of the subscriber shall be entitled to receive the same pension amount as the subscriber until death of the spouse.
 - Or, the entire accumulated corpus under APY will be returned to the spouse/nominee.

Other important facts

- It is mandatory to provide nominee details in APY account. If the subscriber is married, the spouse will be the default nominee. Unmarried subscribers can nominate any other person as nominee & they have to provide spouse details after marriage. The Aadhaar details of spouse and nominees may be provided.
- A subscriber can open only one APY account and it is unique. Multiple accounts are not permitted.
- A subscriber can opt to decrease or increase pension amount during the course of accumulation phase, once a year.
- The periodical information to the subscriber regarding activation of PRAN, balance in the account, contribution credits etc. will be intimated to APY subscribers by way of SMS alerts. The subscriber will also be receiving physical statement of Account once a year.
- The physical statement of APY will be provided to the subscriber annually.

- The contribution may be remitted through auto debit uninterruptedly even in case of change of residence/location.
- The scheme is open for Indian citizen only.
- The subscriber can change the mode (monthly/quarterly/half yearly) of auto debit facility once in a year during the month of April.

Related Links

- [Registration form for Atal Pension Yojana \(APY\)](#)
- [Permanent Retirement Account Number](#)
- [Get Aadhaar Card](#)
- [APY Scheme Details/Circulars](#)
- [Pension Fund regulatory and Development Authority](#)
- [National Pension System](#)
- [Employees' Provident Fund](#)



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